PM, and P.N. Dhar, a close advisor to the PM. Before the implementation of the Emergency, Indira Gandhi had experienced cabinet colleagues capable of giving her independent advice. In her second tenure, the cabinet comprised only 'yes men' who dared not disagree with her, and this affected her capacity to take well-considered and sound decisions.

In the pre-Emergency period, Sanjay Gandhi's emergence as a new power centre did not have an impact on the functioning of the R&AW as he was not interested in its activities. But in the post-Emergency period, Indira Gandhi's decision-making, especially when it came to the Punjab situation, was influenced by the 1 Akbar Road group. In fact, the decision to win the next parliamentary elections due before January 1985 on the Khalistan issue had been taken by Sanjay and his close advisors before Kao had rejoined work. Sanjay Gandhi was tragically killed in a plane crash on 23 June 1980.

As senior advisor, Kao's role was largely shaped by the insecurity of a prime minister lacking the saner advice of her old senior cabinet ministers and independent-minded principal secretaries. That led her to depend heavily for advice on Rajiv Gandhi, who had entered politics following Sanjay's death, and his close advisors. Kao had to function within the parameters defined by the changed circumstances. Clearly, Kao, who had seen better days, in his own way did try his best to change the course of events, especially those related to Punjab, but did not succeed.

While he continued to receive unstinted support from the R&AW due to his past connection with it and the personal regard that Suntook, Gary Saxena and several of the officers had for him, getting support from the Intelligence Bureau was difficult. In 1968, Kao had walked out of the IB with some others to create a new department, which some senior officers of the IB did not like. Also, the IB was working directly under the charge of the home minster while Kao was a part of the cabinet secretariat. Therefore, all sensitive information was passed on by the IB to the PM, either directly by its director or though the home minister, keeping Kao out of the loop. Under the given circumstances, he might have faced coordination problems with the IB.